WHEN MILES MEET DEMAND

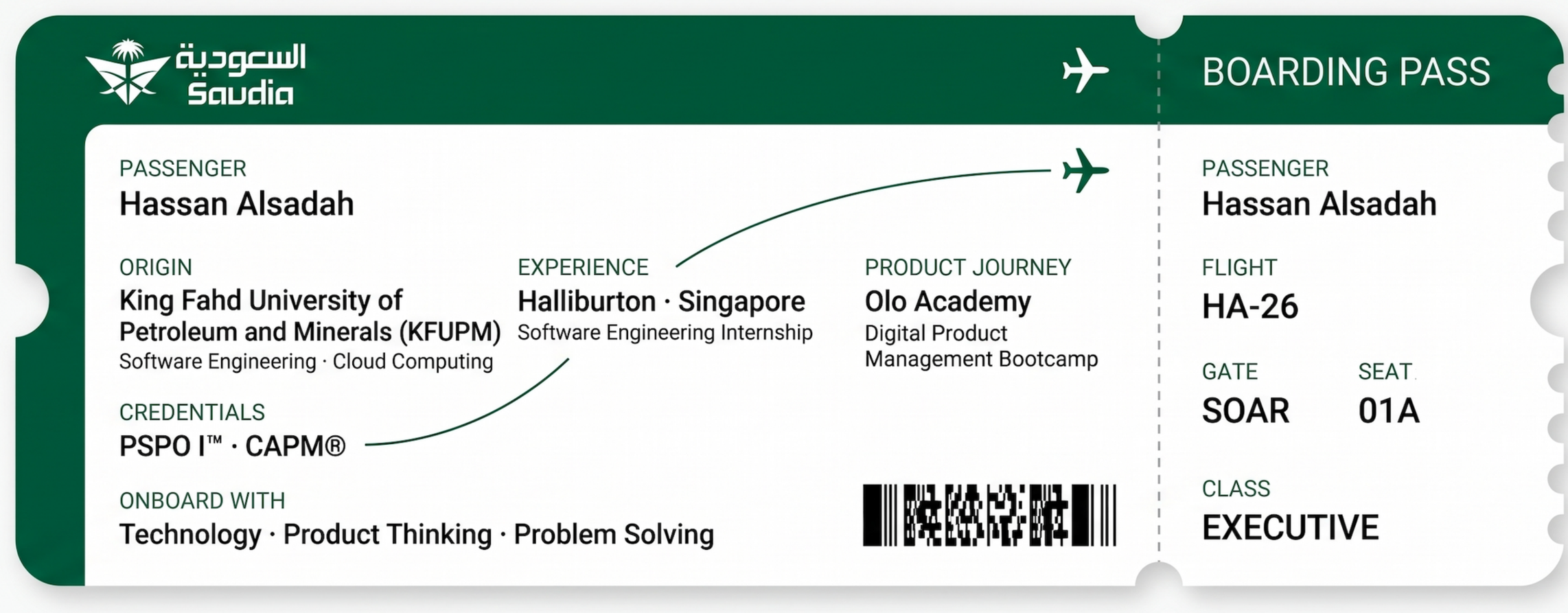
Improving the Mile Redemption Experience



SOAR26 — Executive Interview
Demand & Product Management
Hassan Alsadah

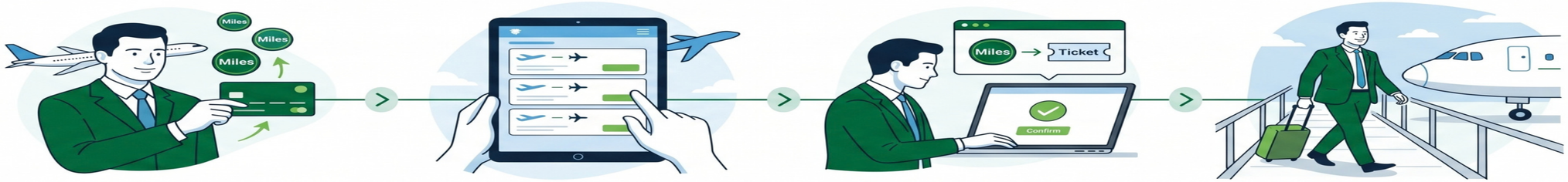
BOARDING PASS

A little about me before we take off



ALFURSAN REDEMPTION JOURNEY

From earning miles to turning them into travel



Stage 1:
Earn Miles

Stage 2:
Explore Reward Flights

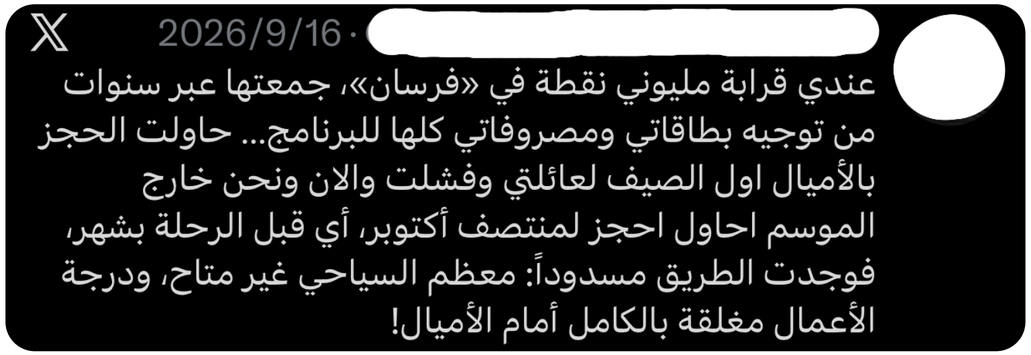
Stage 3:
Redeem Miles

Stage 4:
Travel

Exploring the journey to identify opportunities

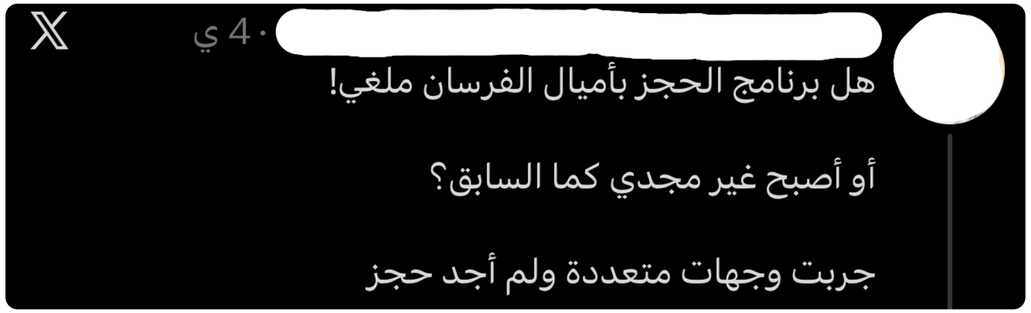
THE VOICE OF THE CUSTOMER

- ~2M miles accumulated
- Repeated attempts to redeem for family travel
- Business Class reward seats unavailable; limited Economy availability



Influencer · 122K+ followers

- Multiple destinations searched
- No reward bookings found
- Questions the value and availability of the redemption program



Influencer · 373K+ followers

“Your most unhappy customers are your greatest source of learning.”
Bill Gates

THE PROBLEM TO SOLVE

Problem statement:

Alfursan members who have accumulated miles are facing difficulty finding suitable reward flights that meet their travel needs, which can lead to frustration during the redemption journey and reduced confidence that their miles can be converted into meaningful travel.

Business impact:

The difficulty may reduce engagement and make it harder to optimize constrained reward inventory.



THE KEY STAKEHOLDERS

ALFURSAN MEMBERS

- Ability to find suitable reward flights
- Confidence that accumulated miles provide meaningful travel value

ALFURSAN PROGRAM TEAM

- Maintaining member engagement
- Ensuring the reward program remains financially sustainable

REVENUE MANAGEMENT TEAM

- Protecting fare revenue
- Maximizing the commercial value of available seats

INVENTORY MANAGEMENT TEAM

- Determining how many seats to allocate for rewards
- Maintaining appropriate availability across travel periods

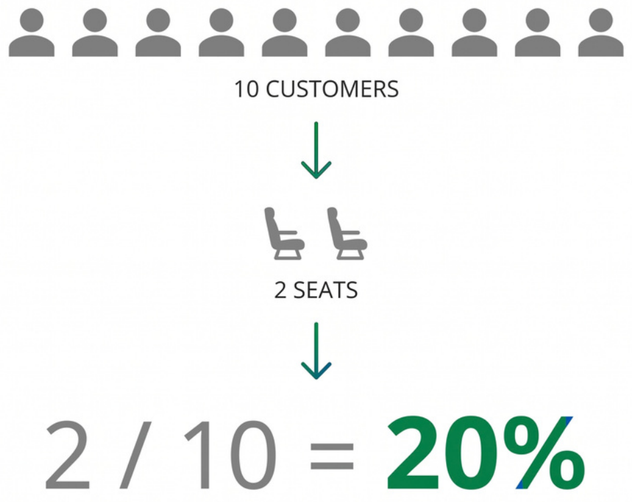
KEY TRADE-OFF:

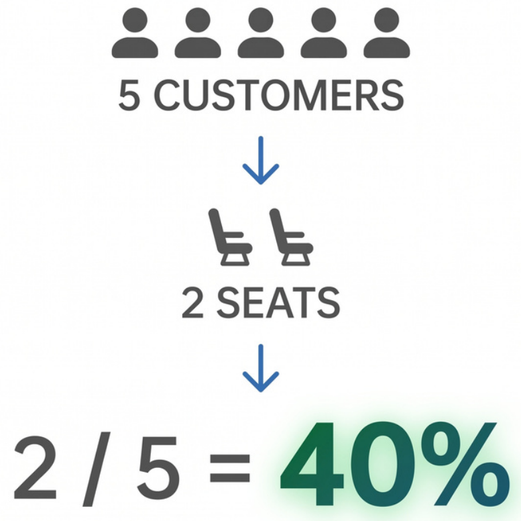
Increasing redemption opportunities while protecting Saudia’s revenue.

MANAGING DEMAND, NOT SEATS

Two factors shape every reward booking:

- Reward seats
- Customers

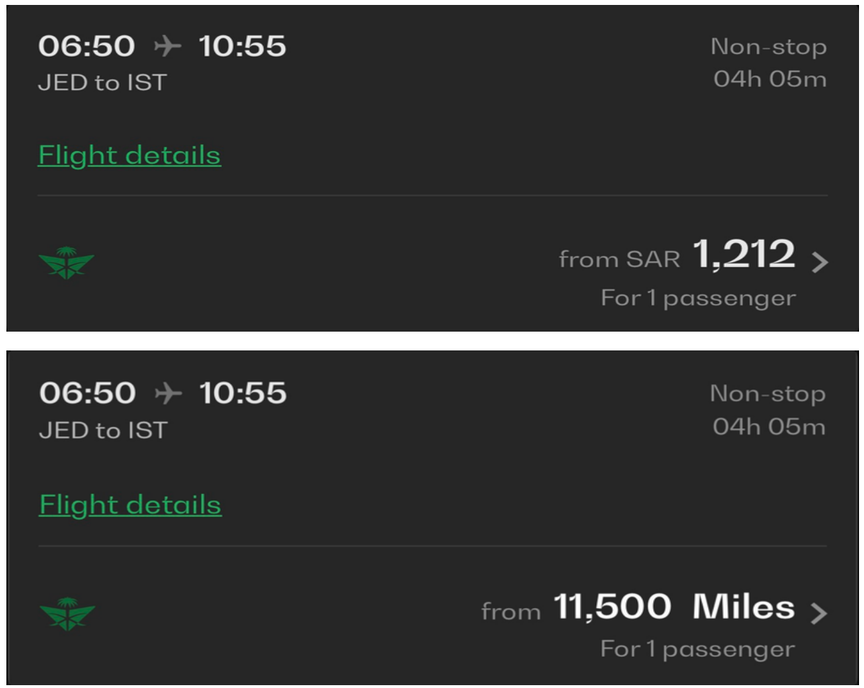




WHEN CASH FARES CHANGE, MILES DON’T

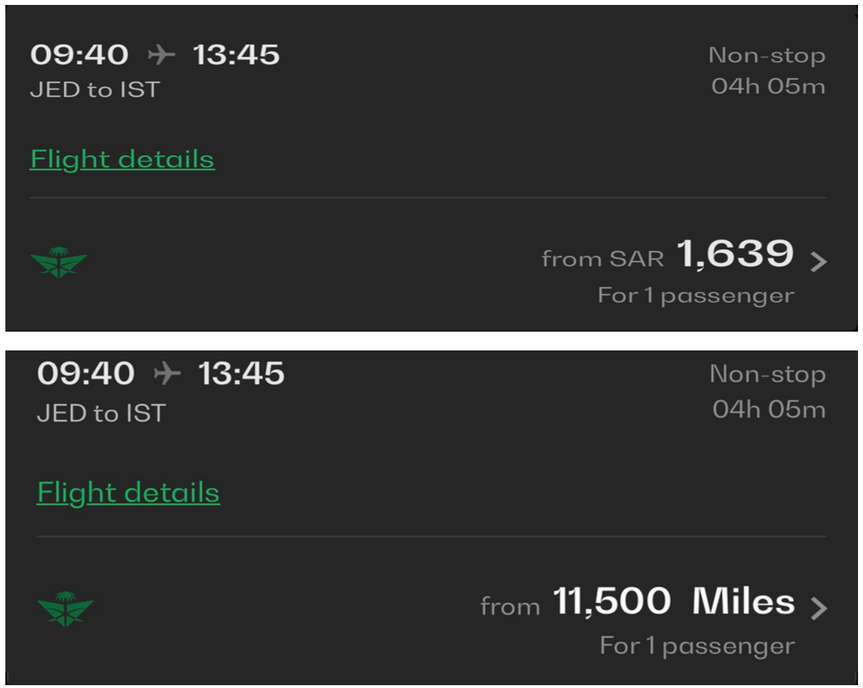
Evidence from the SAUDIA app: cash fares respond to demand, mile pricing does not

Low Demand (Sun, 13 Dec)



Value per Mile = 0.105 SAR

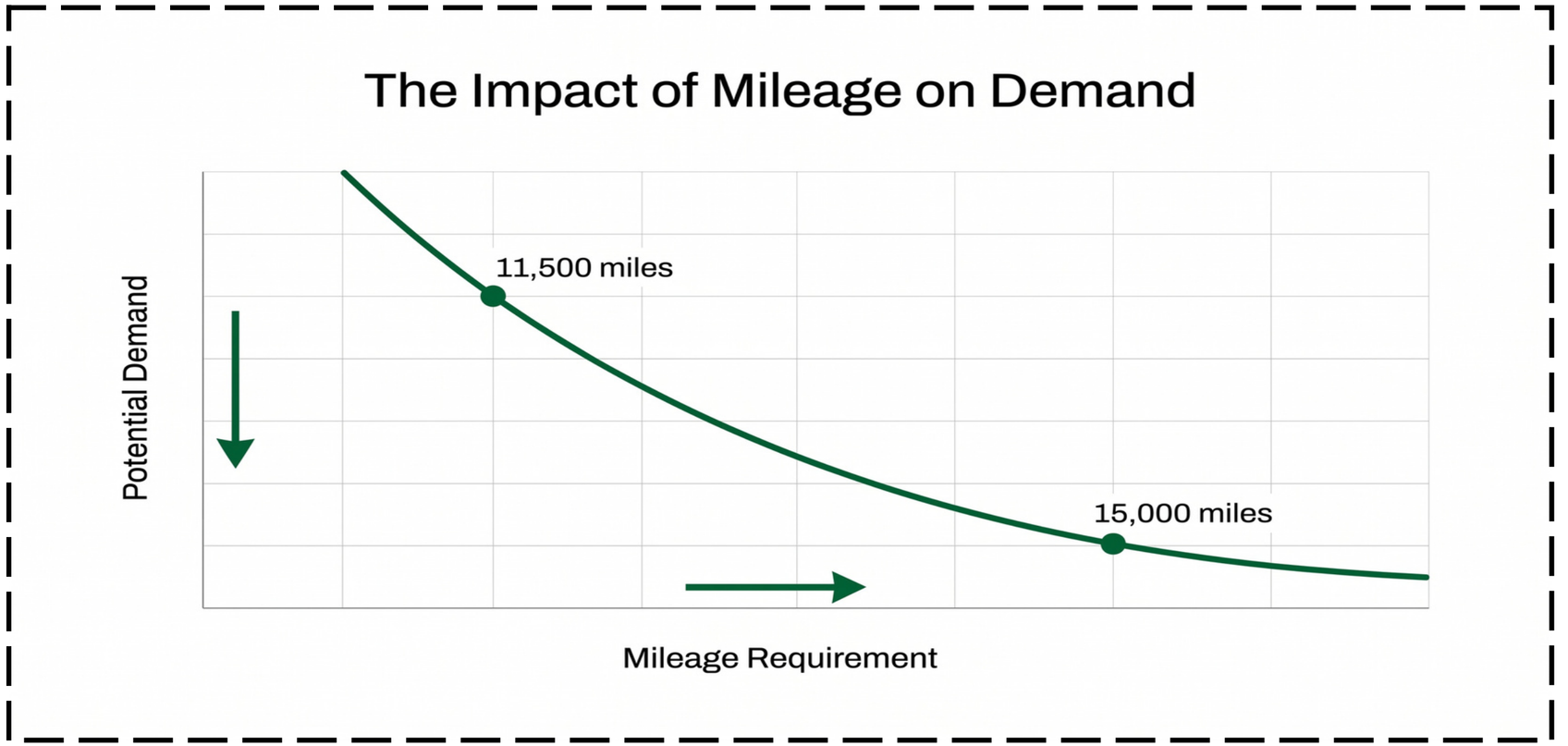
High Demand (Mon, 28 Dec)



Value per Mile = 0.143 SAR

The same miles can represent up to a 35% difference in value

THE POWER OF PRICE TO SHAPE DEMAND

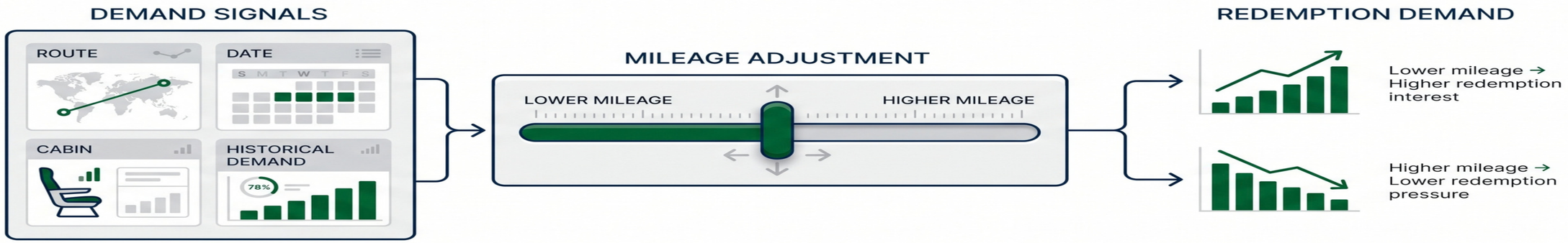


Mileage can balance demand and inventory

A hypothesis to be validated with actual redemption data.

DYNAMIC REWARD PRICING

A mechanism to align redemption demand with available inventory



Flight demand informs **mileage requirements** to manage **redemption pressure**

Proposed mechanism to be validated through a controlled pilot

TURN THE HYPOTHESIS INTO EVIDENCE

Validate customer value and commercial impact on a small scale

Test:

- Select 2–3 high-volume routes
- Include Economy + Business
- Apply a demand-based pricing algorithm

Measure:

KPI	Why it matters	How I would measure it
Reward Redemption Growth	Are more rewards actually being redeemed?	% increase in completed reward redemptions during the pilot
Redemption Conversion Rate	Are searches turning into bookings?	Completed reward bookings ÷ reward searches
Customer Satisfaction (CSAT)	Are members more satisfied with the redemption experience?	Average satisfaction score from post-search feedback

Thank you

for your attention